

FEDERAL MARITIME COMMISSION

Docket No. 23-13

USL AUTO EXPORTING INC.,

COMPLAINANT,

v.

EASY SHIPPING CORPORATION,

RESPONDENT.

**COMPLAINANT’S OBJECTION TO RESPONDENT’S REQUEST FOR ADDITIONAL
TIME**

Complainant, USL Auto Exporting Inc., respectfully submits this Objection to Respondent’s Request for Additional Time pursuant to 46 C.F.R. § 502.71, which grants parties the right to file responses to non-dispositive motions, including requests for extensions of time. Under § 502.71(b), Complainant has the procedural right to object within seven (7) days of service, ensuring that unfounded requests do not unduly delay proceedings or burden the Federal Maritime Commission (FMC).

DATED: January 30, 2025

Respectfully submitted,
USL AUTO EXPORTING INC.,
ANIS HOUSSEIN
Vice President for COMPLAINANT

Complainant, USL Auto Exporting Inc., by and through its undersigned representative, respectfully submits this Objection to Respondent’s Request for Additional Time and states as follows:

I. INTRODUCTION

Respondent, Easy Shipping Corporation, has failed to meet procedural deadlines and now seeks additional time to submit filings that were due months ago, without first seeking leave of the court. Granting this request would unfairly prejudice Complainant, further delay the resolution of this case, and reward Respondent's continued non-compliance with the Commission's rules.

For the reasons set forth below, Complainant objects to Respondent's request for additional time and respectfully requests that the Commission deny the request in its entirety.

II. ARGUMENT

A. Respondent Failed to Seek Leave of the Court Before Requesting Additional Time

1. Respondent did not properly seek leave of the Commission before requesting an extension, making their request procedurally improper.¹
2. Pursuant to 46 C.F.R. § 502.102, any party seeking an extension of time must file a formal motion demonstrating good cause before the deadline expires.²
3. By failing to request leave, Respondent ignored the Commission's procedural requirements and deadlines, demonstrating a pattern of carelessness and disregard for procedural rules.

For this reason alone, Respondent's request should be summarily denied.

¹ . Respondent did not properly seek leave of the Commission before requesting an extension, making their request procedurally improper. Under 46 C.F.R. § 502.102, a party must file a motion demonstrating good cause before the expiration of the deadline. Courts have consistently held that failure to comply with procedural rules may result in denial of relief and potential sanctions.

See *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. S.A.*, Docket No. 21-05, at 3 (F.M.C. July 22, 2022) (denying motion for an extension and issuing an order to show cause for failure to comply with procedural deadlines). Additionally, under Fed. R. Civ. P. 6(b)(1)(B), a party must demonstrate excusable neglect when seeking an extension after missing a deadline. See *Pioneer Inv. Servs. Co. v. Brunswick Assocs. Ltd. P'ship*, 507 U.S. 380, 395 (1993) (outlining factors for excusable neglect, including the danger of prejudice, length of delay, and good faith of the movant).

² . The Federal Maritime Commission (FMC) procedural rule that governs requests for extensions of time is 46 C.F.R. § 502.102. This rule states that:

"Motions for extensions of time shall be made in writing, state the reasons for the motion, and be filed before the expiration of the original or previously extended time period. The moving party must demonstrate good cause for the extension."

B. Respondent Has Repeatedly Missed Deadlines and Caused Delays

1. Respondent's Renewed Motion for Summary Judgment Response was due on March 25, 2024—yet they failed to file a response.³
2. Respondent was also required to submit a brief by July 24, 2024, which they failed to do.⁴
3. Despite having ample time to respond, Respondent only now seeks additional time—further delaying this case.⁵

This pattern of procedural neglect and delay is unjustified and should not be excused by the Commission.

C. Respondent's Claimed Justifications Are Not Valid

³ . Fed. R. Civ. P. 56(e) (“If a party fails to properly support an assertion of fact or fails to properly address another party’s assertion of fact ... the court may ... consider the fact undisputed ... and grant summary judgment if the motion and supporting materials ... show that the movant is entitled to it.”).

Courts have consistently held that failure to respond to a motion for summary judgment can result in serious procedural consequences. The Supreme Court has emphasized that “[p]rocedural rules in ordinary civil litigation should be interpreted to enforce the just, speedy, and inexpensive determination of every action.” *McNeil v. United States*, 508 U.S. 106, 113 (1993). The Seventh Circuit has further clarified that “[f]ailure to respond to a summary judgment motion as required by local rule results in admission of the movant’s facts and may lead to judgment as a matter of law.” *Boehm v. Eli Lilly & Co.*, 691 F. App’x 839, 840 (7th Cir. 2017).

Similarly, the court in *Cichon v. Exelon Generation Co., L.L.C.*, 401 F.3d 803, 809 (7th Cir. 2005), noted that “[a] party’s failure to respond as required by local rules is not merely technical but can have substantive consequences, including granting summary judgment.” These precedents establish that Respondent’s failure to file a timely response to the renewed motion for summary judgment is procedurally improper and warrants a ruling in favor of Complainant.

⁴ . Failing to submit a required brief by the deadline can have serious procedural consequences. Under Federal Rule of Appellate Procedure 31(c), an appellee may move to dismiss an appeal if the appellant fails to file their brief on time. Similarly, Third Circuit Local Appellate Rule Misc. 107.2 states that failure to file a brief or request an extension may result in dismissal for lack of prosecution. See Fed. R. App. P. 31(c); 3d Cir. L.A.R. Misc. 107.2.

These rules highlight the importance of adhering to briefing schedules. By missing the July 24, 2024, deadline, Respondent failed to comply with procedural requirements, warranting potential dismissal or sanctions. See *In re Harris*, 464 F.3d 263, 269 (2d Cir. 2006) (dismissing an appeal due to repeated failures to file briefs as ordered by the court).

⁵ . Under Federal Rule of Civil Procedure 11, attorneys and parties are required to ensure that their filings are not intended to cause unnecessary delay. Specifically, Rule 11(b)(1) states that by presenting a pleading, written motion, or other paper to the court, an attorney or unrepresented party certifies that it is not being presented for any improper purpose, such as to harass, cause unnecessary delay, or needlessly increase the cost of litigation. Violations of this rule can result in sanctions, as outlined in Rule 11(c).

1. Respondent admits that their failure to file was not due to an excusable error but rather a lack of diligence.⁶
2. While Respondent cites staffing issues and newly discovered evidence, these do not justify months of delay—especially given their prior failures to comply with discovery obligations. Moreover, Respondent has failed to provide any proof or documentary evidence to substantiate these claims. Courts have consistently held that a party asserting an excuse for delay must provide specific and credible evidence to support their justification.⁷
3. Complainant has met all procedural deadlines, diligently adhered to the Commission’s orders, and has acted in good faith throughout these proceedings. In contrast, Respondent’s repeated failures to comply with filing deadlines, coupled with their lack of diligence, should not be used as a basis to penalize Complainant by further delaying the resolution of this matter. Courts have consistently held that a party that fails to act with reasonable diligence cannot later seek relief on the grounds of their own inaction.⁸

D. Granting Additional Time Would Unfairly Prejudice Complainant

1. Complainant has already suffered delays and increased legal expenses due to Respondent’s procedural failures.⁹

⁶ . In legal proceedings, a party's failure to act due to a lack of diligence is generally not considered an excusable error. In *People v. Bay*, the New York Court of Appeals held that the prosecution's failure to exercise due diligence in identifying mandatory discovery materials rendered their Certificate of Compliance improper, leading to the dismissal of the case. The court emphasized that the prosecution's lack of reasonable efforts could not be excused.

⁷ . See *Pioneer Inv. Servs. Co. v. Brunswick Assocs. Ltd. P'ship*, 507 U.S. 380, 395 (1993) (holding that excusable neglect requires consideration of the reason for the delay and whether the movant acted in good faith). Mere assertions without factual support do not meet this standard and should not be considered a valid basis for an extension.

⁸ . See *Link v. Wabash R.R. Co.*, 370 U.S. 626, 633–34 (1962) (holding that a party cannot escape procedural consequences due to their own lack of diligence and that courts have inherent power to dismiss cases for failure to prosecute). Similarly, in *Gibbons v. United States*, 317 F.3d 852, 854 (8th Cir. 2003), the court emphasized that procedural deadlines must be enforced to maintain judicial efficiency and fairness to the opposing party. Further, in *Cichon v. Exelon Generation Co., L.L.C.*, 401 F.3d 803, 809 (7th Cir. 2005), the court held that failure to comply with procedural rules has substantive consequences, including adverse rulings.

⁹ . See *Roadway Express, Inc. v. Piper*, 447 U.S. 752, 764–65 (1980) (holding that courts have inherent authority to sanction parties whose conduct results in unnecessary litigation costs and delays). Similarly, in *Chambers v. NASCO, Inc.*, 501 U.S. 32, 45–46 (1991), the Supreme Court emphasized that courts have the inherent power to impose sanctions where a party’s misconduct results in increased litigation expenses for the opposing side.

Moreover, delays and non-compliance with procedural rules have been grounds for courts to impose fee-shifting sanctions to compensate the diligent party. See *Goodyear Tire & Rubber Co. v. Haeger*, 581 U.S. 101, 108 (2017) (holding that a court may award attorneys’ fees when one party’s misconduct has caused the opposing party to incur unnecessary litigation expenses). In *Telectron, Inc. v. Overhead Door Corp.*, 116 F.R.D. 107, 134 (S.D. Fla. 1987), the court sanctioned a party for deliberately delaying litigation and causing the opposing party to bear unnecessary legal expenses.

2. Further extending the timeline disrupts judicial efficiency and wastes the Commission's resources.¹⁰
3. Respondent's delay tactics should not be rewarded with an extension.¹¹

E. Respondent's Fraud Allegations Are Baseless and a Distraction

1. Respondent falsely claims that Complainant misrepresented damages and impersonated them to CMA CGM.¹²
2. These allegations are unsupported, an attempt to shift blame, and should not justify additional time.¹³

¹⁰ . Extending the timeline any further would disrupt judicial efficiency and waste the Commission's resources. Courts have consistently emphasized that procedural deadlines must be enforced to ensure the fair and efficient administration of justice. Delays not only burden the judicial system but also undermine public confidence in the process.

In *United States v. Baumgardner*, 85 F.3d 1305, 1309 (8th Cir. 1996), the court warned that unnecessary delays and repetitive objections impede proceedings and waste judicial resources. Similarly, the principle that "justice delayed is justice denied" reflects the reality that excessive delays can be just as harmful as procedural complexity and high litigation costs. See *Henderson v. United States*, 517 U.S. 654, 662 (1996) (noting that efficient case management is essential to ensuring timely justice).

¹¹ . In *Chambers v. NASCO, Inc.*, 501 U.S. 32, 45–46 (1991), the Supreme Court emphasized that federal courts have inherent authority to impose sanctions when a party engages in bad-faith litigation conduct, stating that "a court may assess attorney's fees when a party has acted in bad faith, vexatiously, wantonly, or for oppressive reasons."

Under 28 U.S.C. § 1927, attorneys who "unreasonably and vexatiously multiply the proceedings" may be required to pay "the excess costs, expenses, and attorneys' fees reasonably incurred because of such conduct."

More, Federal Rule of Civil Procedure 11(b)(1) prohibits filings made for "any improper purpose, such as to harass, cause unnecessary delay, or needlessly increase the cost of litigation."

¹² . In *Pumphrey v. Quillen*, 165 Ohio St. 343, 345 (1956), the court stated that "a claim of fraudulent misrepresentation requires clear and convincing evidence that the defendant knowingly made a false statement with the intent to deceive and that the plaintiff suffered damages as a result." Here, Respondent has failed to provide any factual basis for their allegations, rendering their claims meritless.

Under the False Claims Act (FCA), "any person who knowingly makes, uses, or causes to be made or used, a false record or statement to get a false or fraudulent claim paid or approved" is subject to legal penalties. 31 U.S.C. § 3729(a)(1)(B). The statute applies to fraud against the government, but it underscores the broader principle that false statements with the intent to mislead are legally actionable.

In *Gertz v. Robert Welch, Inc.*, 418 U.S. 323, 340 (1974), the Supreme Court held that "there is no constitutional value in false statements of fact" and that those who make baseless accusations "may be required to compensate for the harm inflicted upon the victim."

¹³ . In *United States v. Baumgardner*, 85 F.3d 1305, 1309 (8th Cir. 1996), the court emphasized that "encouraging defendants to raise all possible objections despite settled law to the contrary impedes proceedings and wastes judicial resources." Similarly, in *Gatete v. The Prosecutor*, Case No. ICTR-00-61-A, Appeal Judgment, 44 (Oct. 9, 2012), the Appeals Chamber stated that "unjustified delays caused by a party's conduct violate the right to be tried without undue delay."

3. Respondent has provided no clear evidence that Complainant engaged in fraud—only vague and unverified claims.¹⁴

III. RELIEF REQUESTED

For the foregoing reasons, Complainant respectfully requests that the Commission:

1. Deny Respondent's request for additional time in its entirety.
2. Proceed with ruling on Complainant's Motion for Summary Judgment.
3. Impose monetary sanctions on Respondent for unnecessary delays and procedural non-compliance.
4. Reject Respondent's fraudulent allegations as baseless and unsupported.

Complainant further requests any other relief the Commission deems appropriate in the interest of justice.

IV. CONCLUSION

Respondent's request for additional time is unwarranted, prejudicial, and another delay tactic. Complainant has met all procedural deadlines, while Respondent has repeatedly failed to comply. Granting this extension would undermine procedural fairness and further prolong this case. Moreover, Respondent failed to properly seek leave of the court before requesting an extension, making their request procedurally defective. For this reason alone, the request should be denied outright.

For these reasons, Complainant respectfully objects to Respondent's request for additional time and urges the Commission to deny it.

DATED: January 29, 2025

¹⁴ . Under Federal Rule of Civil Procedure 9(b), a party alleging fraud is required to "state with particularity the circumstances constituting fraud or mistake."

In *DiLeo v. Ernst & Young*, 901 F.2d 624, 627 (7th Cir. 1990) (holding that "Rule 9(b) requires the plaintiff to state the identity of the person making the misrepresentation, the time, place, and content of the misrepresentation, and the method by which the misrepresentation was communicated.").

See. *U.S. ex rel. Lusby v. Rolls-Royce Corp.*, 570 F.3d 849, 854 (7th Cir. 2009) ("The complaint must detail the who, what, when, where, and how of the fraud.").

The COMMISSION in *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 16-07, at 5 (F.M.C. 2018) (requiring allegations under 46 U.S.C. § 41102(a) to be pleaded with specificity in accordance with Rule 9(b)).

Respectfully submitted,

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By: /s/ ANIS HOUSSEIN

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Vice President for COMPLAINANT

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on the 30th day of January 2025, a true and correct copy of the foregoing Objection to Respondent's Request for Additional Time was served via electronic mail on:

EASY SHIPPING CORPORATION
(fracati@rafatilegal.com)

Anis Houssein

Anis Houssein

Vice President for COMPLAINANT
USL AUTO EXPORTING INC.,